

EXHIBIT B

**IN THE UNITED STATES COURT OF APPEALS
FOR THE ELEVENTH CIRCUIT**

AMERICAN SECURITIES
ASSOCIATION and CITADEL
SECURITIES LLC,

Petitioners,

v.

UNITED STATES SECURITIES AND
EXCHANGE COMMISSION,

Respondent,

Case No. 26-10936

DECLARATION OF CHRISTOPHER IACOVELLA

I, Christopher Iacovella, pursuant to 28 U.S.C. §1746, declare as follows under penalty of perjury:

1. My name is Christopher Iacovella. I am over 18 years old. I make this declaration based on personal knowledge and belief. If called as a witness, I could and would testify competently thereto.

2. I am the Chief Executive Officer of the American Securities Association (“ASA”). I have served in that position since July of 2018.

American Securities Association, Its Mission, and Its Members

3. Founded in 2016, ASA is a nonprofit trade association of small and regional financial services companies, including broker-dealers and investment advisers. ASA’s members help individuals create and preserve wealth through

their investments. ASA's members also provide Main Street businesses and others with access to needed capital. In short, ASA's members are at the core of job creation, wealth preservation, and increasing prosperity.

4. ASA's mission is to promote trust and confidence among investors, facilitate capital formation, and support efficient and competitively balanced capital markets. ASA believes that fair, efficient, and competitively balanced capital markets are necessary to protect investors, create financial independence, stimulate job creation, and create prosperity. ASA zealously opposes burdensome regulations that harm regional financial services firms, small businesses, and retail investors.

5. Through direct advocacy, strategic communications, litigation, and grassroots political outreach, ASA advances the business, market, regulatory, and legislative interests of its members. ASA regularly brings litigation and files amicus briefs to protect the interests of its members. *See, e.g., American Securities Association v. U.S. Securities & Exchange Commission*, 2026 WL 621432 (M.D. Fla. Mar. 5, 2026); *American Securities Association, Citadel Securities LLC v. U.S. Securities & Exchange Commission*, 147 F.4th 1264 (11th Cir. 2025); *American Securities Association v. Department of Labor*, 2023 WL 1967573 (M.D. Fla. Feb. 13, 2023). ASA has a geographically diverse membership base that spans every region of the United States. ASA's principal place of business is in Tampa, Florida.

6. Robert W. Baird & Co., Inc. (“Baird”) is a member of ASA. Baird is an employee-owned wealth management, asset management, and investment banking / capital markets firm, with more than 200 offices in the United States. Baird serves individuals, corporations, and institutions from around the world. Baird’s mission is to provide the best financial advice and services to its clients by striving to help them create great outcomes in their financial life and by always keeping their interests first.

7. Baird is a broker-dealer that is registered with the U.S. Securities & Exchange Commission. In addition to being a registered broker-dealer, Baird is also a member of the Financial Industry Regulatory Authority (FINRA) and other U.S. registered national securities exchanges, including the New York Stock Exchange and the Nasdaq Stock Market.

8. As a broker-dealer, Baird regularly buys and sells publicly traded stocks on U.S. securities exchanges and over-the-counter on its own behalf and on behalf of retail and institutional clients.

The 2023 Funding Order’s Effects on ASA’s Members

9. On September 6, 2023, the SEC issued an order governing the funding of the Consolidated Audit Trail (CAT). 88 Fed. Reg. 62628 (2023 Order).

10. The 2023 Order provided that the CAT would be funded through a new direct monetary payment to an entity known as CAT LLC for each trade

in a listed security executed in the U.S. securities markets. Specifically, each executed trade would trigger the assessment of a fee payable in part by the executing broker for the buyer, the executing broker for the seller, and the exchange on which the trade is executed (or FINRA for trades executed over the counter). *See* 2023 Order 62629-30.

11. Under the 2023 Order, ASA's broker-dealer members were required to pay at least one-third of the fee imposed on each executed share, and at least two-thirds of the fee any time they are executing on behalf of both the buyer and the seller. The 2023 Order also authorized the exchanges and FINRA to pass 100% of their costs—including their one-third share of the fee for each executed share—onto their member broker-dealers, including ASA's members. *See* 2023 Order 62684 n.1135, 62637-38, 62666. In fact, FINRA sought to pass all of its costs onto its member firms, including ASA's members. *See* FINRA Cost-Shifting Filing, <https://perma.cc/WT9G-PT63>. Under the 2023 Order, all of the exchanges were permitted to do the same at any time. *See* 2023 Order 62684 n.1135, 62637-38, 62666.

12. The U.S. Court of Appeals for the Eleventh Circuit vacated the 2023 Order as unlawful in July 2025. *Am. Sec. Ass'n v. SEC*, 147 F.4th 1264 (11th Cir. 2025).

13. To my knowledge, no member of ASA has received a refund of CAT fees it paid under the 2023 Order, including any portion of CAT LLC's current reserve that is attributable to ASA's members.

The 2026 Funding Order's Effects on ASA's Members

14. On March 16, 2026, the SEC issued an order approving a funding model for the CAT that is "substantively identical" in nearly all respects to the version approved by the now-vacated 2023 Order. 91 Fed. Reg. 13410, 13415 (2026) (2026 Order).

15. As with the 2023 Order, the 2026 Order will require ASA's broker-dealer members to pay the fee imposed on each executed share where that broker-dealer is considered to be the executing broker. 2026 Order 13414-25. The 2026 Order also authorizes the exchanges and FINRA to "indirectly" pass 100% of their costs relating to the CAT onto their member broker-dealers, including ASA's broker-dealer members, by increasing existing regulatory fees. *Id.* at 13413.

16. The effect of these costs on ASA's broker-dealer members will be substantial, given that the 2026 Order estimates that broker-dealers will bear anywhere between \$297.8 million and \$446.6 million in annual CAT costs between 2026 and 2028. 2026 Order 13465-66.

17. CAT fees will make the execution of trades more expensive. Each executed trade will result in additional costs payable by buying and selling

executing broker-dealers, including ASA's members. And increased regulatory fees will make the general costs of doing business more expensive for broker-dealers, including ASA's members.

I declare under penalty of perjury that the foregoing is true and correct.

EXECUTED on April 1, 2026, in Tampa, Florida

Christopher A. Iacovella
Christopher Iacovella